

BOARD OF THE CBA

MINUTES

(24.01.2020)

On the Refinancing Rate

The CBA Board Meeting of January 24, 2020 attended by Governor Arthur Javadyan, Deputy Governor Nerses Yeritsyan, and Board Members Hasmik Ghahramanyan, Arthur Stepanyan, and Oleg Aghasyan

The Board meeting opened with presentation of the Situation Report as of January 24, 2020. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

Year 2019, it was recorded, **ended with the 12-month inflation rate amounting to 0.7%** due to **1.3%** of inflation recorded in December 2019. The month's inflation owed primarily to the change in prices of item "Food products and non-alcoholic drinks" in which the vegetable and fruit prices again grew considerably, by 19.9% and 4.9%, respectively (combined contribution to inflation: 1.3 pp). In December, service tariffs slightly increased by 0.2% mainly due to 0.3% and 2.6% increases in items "Transport" and "Recreational services", respectively. In recent months, the **12-month core inflation rate** behaved mostly stable, and amounted to **0.7%** at the end of the year.

Addressing the current economic situation, the Board stated that **in the fourth quarter 2019 too, economic activity exceeded the expected figure** owing mainly to the high growth in the services. In the period January-November, compared to the same period last year, the economic growth has been 7.5%; this has prompted the Central Bank to revise its estimation and expects that by the end of the year the economic growth will be around this indicator. Domestic demand too remains high in the fourth quarter thanks to the increase in private consumption, which is greatly supported by a stimulative monetary policy. The latter reflected strong growth in economy lending, about 19.0% annually, in which structure the share of dram loans is considerable. At the end of the year the fiscal policy also boosted domestic demand, although the impact was somewhat lower than expected. The fiscal policy in 2020 is expected to be expansionary, the impact of which will depend on the implementation process; in particular if high rate of tax collection persists throughout the year, the fiscal impulse will be less stimulating than anticipated.

Addressing the external sector developments, the Board admitted that although persisting uncertainties have somewhat withdrawn and some price increases on certain products were observable in the world's commodity markets at the end of the year, the global economic growth is still sluggish and reflects a weakening external demand. In such a circumstance, central banks of main trade partner countries to Armenia will further pursue a stimulative monetary policy in an upcoming period of time, in order to fulfil their inflation targets. The risks associated with an outbreak of coronavirus in China and how this can adversely influence the world economy were also discussed.

As to the developments in the domestic financial market, the Board noted that short-term interest rates performed relatively steadily at the start of the year, shaping around the policy rate, while the falling of interest rates in the medium- and long-term segments of the yield curve continued.

The Board touched upon some structural factors set to keep inflation low, which is that structural reforms provide for an increasingly strong competition in commodity markets, and that the demand shifts from the market of short-term consumer goods to the market of long-term consumer goods, which is also good for an increased efficiency of use of resources in these areas.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began addressing the monetary policy directions and making decision on the interest rate. In view of non-inflationary impacts expected from the external sector in the near future and a stimulative fiscal policy, while letting the inflation recover gradually, the Board **found it appropriate to retain the monetary stimulus by leaving the refinancing rate unchanged.** Given the predictable macroeconomic developments, the Board estimates that monetary conditions still need to be kept expansionary, in anticipation that the inflation will run below the target in the coming months but will gradually return to the target in the medium run.

The Board also looked to current inflation risks which are generally double-sided now. If these risks materialize, an appropriate monetary policy response of the Central Bank will come along to ensure price stability in the mid-term perspective.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

Deciding on the Interest Rate

CODE

050.0010 L. 24.01.20

January 24, 2020

No. 10 L

Interest Rates of Instruments of Monetary Policy of the Central Bank of the Republic of Armenia

By virtue of Article 20 “c” of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, at 5.5%.
2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:
 - 2.1 Lombard facility rate offered by the Central Bank of the Republic of Armenia to be 7.0%.
 - 2.2 Deposit facility rate offered by the Central Bank of the Republic of Armenia to be 4.0%.
3. This decision takes effect through a procedure as prescribed by law.

Arthur Javadyan,

Governor of the Central Bank

January 24, 2020

c. Yerevan

PRESS RELEASE
24.01.2020

In the January 24, 2020 meeting, the Board of the Central Bank of Armenia (CBA) decided to leave the refinancing rate unchanged, 5.5%.

There was 1.3% inflation in December of 2019 compared to that of 1.5% registered in the same period last year, with the 12-month inflation rate amounting to 0.7% for the year.

Determined by reduced economic uncertainty in the external sector and the factors of supply of certain raw materials and food products, there has been some increase in prices in international markets. However, growth rates of the world economy are still relatively low, and the global demand remains weak accordingly. In general, the CBA Board does not expect any significant impact on the inflation environment from the external sector.

The Board admits that economic activity was rather high in the fourth quarter too, under which annual estimates of economic growth will exceed expectations. Domestic demand growth is also estimated to be high, mainly due to the increase in private consumption, which is further promoted by a stimulative monetary policy. In the fourth quarter of 2019, the fiscal policy is estimated to be expansionary and is predicted to persist over this year as well; its extent will depend largely on the course of the fiscal policy being implemented.

Taking into account the actual developments of external and domestic economies and in anticipation of an expansionary fiscal policy, as well as further favoring a gradual recovery of inflation, the CBA Board finds it appropriate to maintain the current level of monetary policy stimulus by leaving the refinancing rate unchanged. In view of anticipated macroeconomic developments, keeping monetary conditions expansionary will still be needed. As a result, the expectation is that the inflation will be running below the target in the upcoming months and will gradually return to it in the medium run.

Risks to the inflation deviating from the projection path are currently in either direction; if they materialize, the CBA will react accordingly, while ensuring the price stability in the mid-term perspective.

Detailed information that underlies the decision on setting the interest rate will be available in Press Release (Minutes on Interest Rate) to be published by February 10, 2020.

.....
Press Service of the Central Bank of Armenia